

Week 6 — Law of Large Numbers, Duality, Conic Programming

AD7031 Optimization Under Uncertainty • Instructor: Prof. H. Park • Oct 3, 2026

1. Law of large numbers

$\tilde{\xi}_1, \tilde{\xi}_2, \tilde{\xi}_3, \dots$: an infinite sequence of **independent and identically distributed (i.i.d.)** random variables,

each with expected value μ

Law of large numbers (strong law, SLLN)

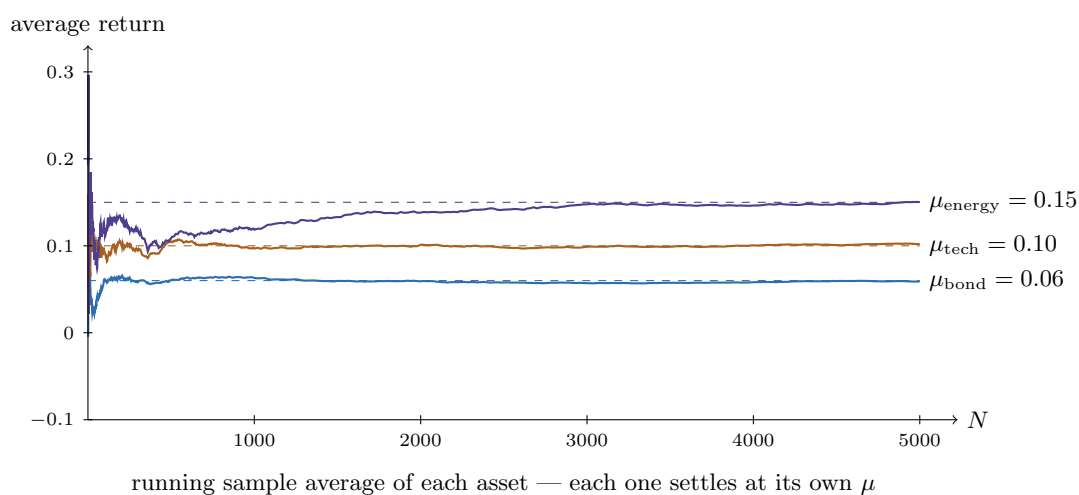
$$\mathbb{P}\left(\lim_{N \rightarrow \infty} \frac{1}{N} \sum_{i \in [N]} \tilde{\xi}_i = \mu\right) = 1$$

sample average $\longrightarrow$ expected value

Example portfolio: $\tilde{\xi}_i$ = return of an asset on day i , i.i.d. over days

asset	expected return μ	σ
bond	0.06	0.10
tech	0.10	0.20
energy	0.15	0.30

$$\frac{1}{N} \sum_{i \in [N]} \tilde{\xi}_i = \text{average return over the first } N \text{ days}$$



2. Duality theory

in this course, we focus on **convex** functions.

Primal Problem

$$\begin{aligned} \min \quad & f_0(x) \\ \text{s.t.} \quad & x \in \mathbb{R}^N \\ & f_i(x) \leq 0 \quad \forall i \in [I] \end{aligned} \tag{P}$$

Dual Problem

$$\begin{aligned} \max_{\theta} \min_{x \in \mathbb{R}^N} \quad & f_0(x) + \sum_{i \in [I]} \theta_i f_i(x) \\ \text{s.t.} \quad & \theta \in \mathbb{R}^I \\ & \theta \geq 0 \end{aligned} \tag{D}$$

$\begin{aligned} \min \quad & f_0(x) \\ \text{s.t.} \quad & x \in \mathbb{R}^N \\ & f_i(x) \leq 0 \quad \forall i \in [I] \end{aligned}$
$= \min_{x \in \mathbb{R}^N} f_0(x) + \underbrace{\max_{\theta \in \mathbb{R}_+^I} \sum_{i \in [I]} \theta_i f_i(x)}_{\leq 0}$

if $f_i(x) \leq 0 \quad \forall i$, then $= 0$

if $\exists i : f_i(x) > 0$, then $= +\infty$

$$\geq \max_{\theta \in \mathbb{R}_+^I} \min_{x \in \mathbb{R}^N} f_0(x) + \sum_{i \in [I]} \theta_i f_i(x)$$

Properties:

— **weak duality** $\min(P) \geq \max(D)$ always holds.

— **strong duality:** $\min(P) = \max(D)$ holds

when the problem (P) is convex and the Slater's condition holds

$$\exists x \in \mathbb{R}^N, \text{ s.t. } f_i(x) < 0 \quad \forall i \in [I]$$

In this course, we assume that strong duality holds for convex problem!!

3. Example: linear program

Primal LP:

$$\begin{array}{ll} \min & c^\top x \\ \text{s.t.} & x \in \mathbb{R}^N \\ & Ax \leq b \end{array} \quad \begin{array}{ll} f_0(x) = c^\top x \\ f_i(x) = a_i^\top x - b_i & \forall i \in [I] \end{array}$$

$$\begin{aligned} f_i(x) &\leq 0 \\ \iff a_i^\top x - b_i &\leq 0 \\ \iff a_i^\top x &\leq b_i \end{aligned}$$

Dual LP:

$$\begin{aligned} & \max_{\theta \in \mathbb{R}_+^I} \min_{x \in \mathbb{R}^N} c^\top x + \sum_{i \in [I]} \theta_i (a_i^\top x - b_i) \\ &= \max_{\theta \in \mathbb{R}_+^I} \min_{x \in \mathbb{R}^N} c^\top x + \sum_{i \in [I]} \theta_i a_i^\top x - \sum_{i \in [I]} \theta_i b_i \\ &= \max_{\theta \in \mathbb{R}_+^I} - \sum_{i \in [I]} \theta_i b_i + \underbrace{\min_{x \in \mathbb{R}^N} \left(c + \sum_{i \in [I]} \theta_i a_i \right)^\top x}_{= \begin{cases} 0 & \text{if } c + \sum_{i \in [I]} \theta_i a_i = 0 \\ -\infty & \text{if otherwise.} \end{cases}} \\ &= \max_{\substack{\theta \in \mathbb{R}_+^I \\ A^\top \theta = -c}} -b^\top \theta \end{aligned}$$

LP strong duality : if there exists $x \in \mathbb{R}^N : Ax \leq b$

$$\text{or } \theta \in \mathbb{R}^I : A^\top \theta = -c, \theta \geq 0$$

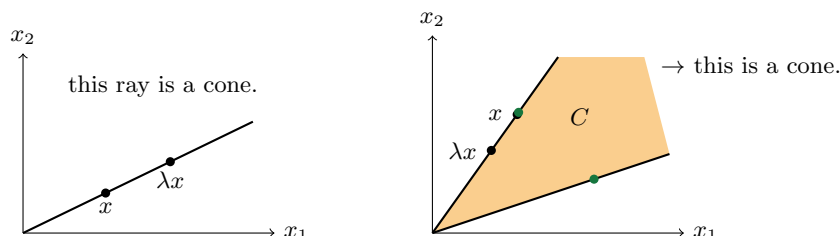
then strong duality holds

4. Conic programming

a conic program is a convex optimization problem.

- a **linear** objective function.
- a feasible set defines through the intersection of halfspaces $Ax \leq b$ and a proper cone C .

Def (cone) a set C is a cone if $\forall x \in C$, we have $\lambda x \in C \quad \forall \lambda \geq 0$



Def (proper cone) $\mathbb{R}^N$ is a cone but not pointed.

C is a proper cone if it's **convex, closed, pointed**

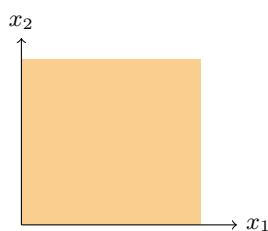
if $x, -x \in C$ then $x = 0$.

Generic conic program:

$$\begin{aligned} \min \quad & c^\top x \\ \text{s.t.} \quad & x \in \mathbb{R}^N \\ & Ax \leq b \\ & x \in C \end{aligned}$$

Example:

1) **Linear program:** $C = \mathbb{R}_+^N$

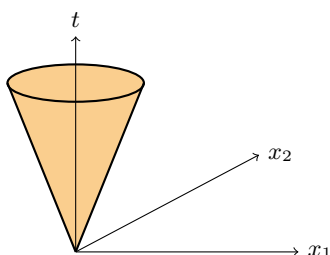


$$x \in \mathbb{R}_+^N \iff x \geq 0$$

$$\min c^\top x \quad \text{s.t.} \quad Ax \leq b, \quad x \geq 0$$

2) **Second-order cone:** $C = \text{SOC}_Q^{N+1} = \{(x, t) \in \mathbb{R}^N \times \mathbb{R} : \sqrt{x^\top Q x} \leq t\}, \quad Q \succ 0$

$Q = I$: $\text{SOC}^{N+1} = \{(x, t) : \|x\|_2 \leq t\}$ “ice-cream” cone



3) **Semidefinite program:** $C = \mathbb{S}_+^K$

$\mathbb{S}^K$: set of symmetric matrices in $\mathbb{R}^{K \times K}$ ($A^\top = A$)

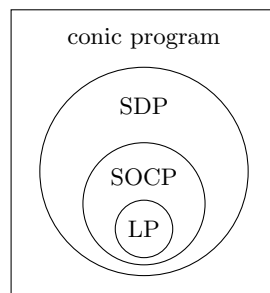
$\mathbb{S}_+^K$: set of positive semidefinite (symmetric) matrices in $\mathbb{R}^{K \times K}$

$$A \in \mathbb{S}_+^K \text{ if } z^\top A z \geq 0 \quad \forall z \in \mathbb{R}^K$$

Generic semidefinite program: the variable is a matrix X

$$\begin{aligned} \min \quad & \langle D, X \rangle \\ \text{s.t.} \quad & X \in \mathbb{S}^K \\ & \langle A_i, X \rangle \leq b_i \quad \forall i \in [I] \quad \rightarrow \text{usually ignored} \\ & X \in \mathbb{S}_+^K \end{aligned}$$

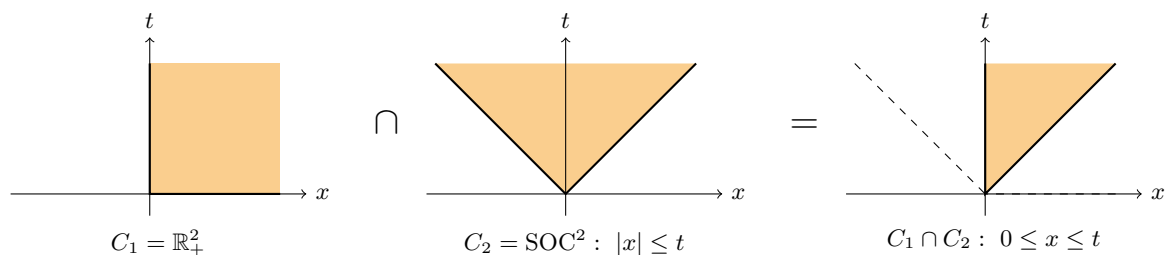
$$\langle D, X \rangle = \sum_{j,k} D_{jk} X_{jk} \text{ --- linear in } X$$



4) **Several cones at once:**

$$x \in C_1 \text{ and } x \in C_2 \iff x \in C_1 \cap C_2 \quad \text{--- again a proper cone}$$

$$x = (x^1, x^2): x^1 \in C_1 \text{ and } x^2 \in C_2 \iff x \in C_1 \times C_2 \quad \text{--- again a proper cone}$$



Example: portfolio, minimum variance

$$\begin{array}{llll} \min & x^\top \Sigma x & \min & t \\ \text{s.t.} & x \in \mathbb{R}^N & \text{s.t.} & (x, t) \in \mathbb{R}^N \times \mathbb{R} \\ & \mu^\top x \geq r & \iff & \mu^\top x \geq r, \quad e^\top x \leq 1 \iff A(x, t) \leq b \quad \text{halfspaces} \\ & e^\top x \leq 1 & & \iff \sqrt{x^\top \Sigma x} \leq t \iff (x, t) \in \text{SOC}_\Sigma^{N+1} \quad \text{cone} \\ & x \geq 0 & & \iff (x, t) \in \mathbb{R}_+^{N+1} \quad \text{cone} \end{array}$$

$$\Rightarrow C = \text{SOC}_\Sigma^{N+1} \cap \mathbb{R}_+^{N+1} \text{ --- a SOCP in } (x, t)$$

5. Conic programming duality

Def (*dual cone*)

$$C^* = \{ y \in \mathbb{R}^K : y^\top x \geq 0 \quad \forall x \in C \}$$

Self dual cones ($C = C^*$)

— $C = \mathbb{R}_+^K$

— $C = \text{SOC}^K$ (second-order cone, $Q = I$) general $Q \succ 0$: $(\text{SOC}_Q^K)^* = \text{SOC}_{Q^{-1}}^K$ — not self-dual

— $C = \mathbb{S}_+^K$

— products of these: $C = C_1 \times C_2, \quad C^* = C_1^* \times C_2^* = C$

Primal conic program:

$$\begin{array}{ll} \min & c^\top x \\ \text{s.t.} & x \in \mathbb{R}^N \\ & Ax \leq b \\ & x \in C \end{array}$$

Dual conic program:

$$\begin{array}{ll} \max & -b^\top \theta \\ \text{s.t.} & \theta \in \mathbb{R}_+^I \\ & c + A^\top \theta \in C^* \end{array}$$

Example 1: linear program, $C = \mathbb{R}_+^N = C^*$

$$\begin{array}{ll} \min & c^\top x \\ \text{s.t.} & x \in \mathbb{R}^N \\ & Ax \leq b \\ & x \in \mathbb{R}_+^N = C \end{array} \quad \Longrightarrow \quad \begin{array}{ll} \max & -b^\top \theta \\ \text{s.t.} & \theta \in \mathbb{R}_+^I \\ & c + A^\top \theta \in \mathbb{R}_+^N = C^* \end{array}$$

Example 2: portfolio, minimum variance — for simplicity, $\Sigma = I$

hence $\sqrt{x^\top \Sigma x} = \sqrt{x^\top x} = \|x\|_2 \leq t \iff (x, t) \in \text{SOC}^{N+1} = C^*$ (self-dual)

decision $z = \begin{bmatrix} x \\ t \end{bmatrix} \in \mathbb{R}^{N+1}$, $c = \begin{bmatrix} 0 \\ 1 \end{bmatrix}$, $c^\top z = t$

$\mu^\top x \geq r$, $e^\top x \leq 1$, $x \geq 0 \iff Az \leq b$:

$$A = \begin{bmatrix} -\mu^\top & 0 \\ e^\top & 0 \\ -I & 0 \end{bmatrix}, \quad b = \begin{bmatrix} -r \\ 1 \\ 0 \end{bmatrix}, \quad \theta = \begin{bmatrix} \theta_1 \\ \theta_2 \\ \lambda \end{bmatrix} \in \mathbb{R}_+^{N+2}$$

$$\begin{aligned} \min \quad & c^\top z \\ \text{s.t.} \quad & z \in \mathbb{R}^{N+1} \\ & Az \leq b \\ & z \in \text{SOC}^{N+1} \end{aligned}$$

$$-b^\top \theta = r\theta_1 - \theta_2, \quad c + A^\top \theta = \begin{bmatrix} \theta_2 e - \theta_1 \mu - \lambda \\ 1 \end{bmatrix} \in \text{SOC}^{N+1}$$

$$\begin{aligned} \max \quad & r\theta_1 - \theta_2 \\ \text{s.t.} \quad & \theta_1, \theta_2 \geq 0, \quad \lambda \in \mathbb{R}_+^N \\ & \|\theta_2 e - \theta_1 \mu - \lambda\|_2 \leq 1 \end{aligned}$$